Vinamilk JSC (VNM): Discounted Cash Flow Valuation

VND billions unless stated | Balance sheet and valuation basis: 30 Jun 2026 | Market data: 16 Oct 2026 close

Ticker	VNM	Implied price (VND)	64,963		
Price date	16-Oct-2026	Current price (VND)	57,800	Upside / (Downside)	12.4%

Assumptions

Valuation assumptions

WACC	9.55%	*Linked to WACC tab*
Terminal growth rate (TGR)	3.00%	*Input: see Assumptions tab for rationale*

Forecast year #						*1.0*	*2.0*	*3.0*	*4.0*	*5.0*
Income Statement	**2021A**	**2022A**	**2023A**	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Revenue	60,919	59,956	60,369	61,783	63,646	70,647	73,826	76,779	79,466	81,850
% growth		*(1.6%)*	*0.7%*	*2.3%*	*3.0%*	*11.0%*	*4.5%*	*4.0%*	*3.5%*	*3.0%*
EBIT	11,760	9,753	9,771	10,405	10,664	12,575	12,920	13,283	13,668	13,915
% margin	*19.3%*	*16.3%*	*16.2%*	*16.8%*	*16.8%*	*17.8%*	*17.5%*	*17.3%*	*17.2%*	*17.0%*
Taxes	2,290	1,918	1,949	2,147	2,236	2,515	2,584	2,657	2,734	2,783
% of EBIT	*19.5%*	*19.7%*	*19.9%*	*20.6%*	*21.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*

Cash Flow Items	**2021A**	**2022A**	**2023A**	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
D&A	2,367	2,341	2,300	2,341	2,363	2,473	2,584	2,687	2,781	2,865
% of sales	*3.9%*	*3.9%*	*3.8%*	*3.8%*	*3.7%*	*3.5%*	*3.5%*	*3.5%*	*3.5%*	*3.5%*
CapEx	1,531	1,457	1,580	1,742	1,762	2,119	2,362	2,534	2,702	2,865
% of sales	*2.5%*	*2.4%*	*2.6%*	*2.8%*	*2.8%*	*3.0%*	*3.2%*	*3.3%*	*3.4%*	*3.5%*
Change in NWC	(2,465)	(960)	(2,505)	(717)	(2,713)	(2,119)	(2,215)	(2,303)	(2,384)	(2,456)
% of sales	*(4.0%)*	*(1.6%)*	*(4.1%)*	*(1.2%)*	*(4.3%)*	*(3.0%)*	*(3.0%)*	*(3.0%)*	*(3.0%)*	*(3.0%)*

Discount period (years after 30 Jun 2026)						*0.5*	*1.5*	*2.5*	*3.5*	*4.5*	*Stub: H1 2026 actual (VND bn)*
Discounted Cash Flow	**2021A**	**2022A**	**2023A**	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**H1 2026A**
Revenue						70,647	73,826	76,779	79,466	81,850	
% growth						*11.0%*	*4.5%*	*4.0%*	*3.5%*	*3.0%*	
EBIT						12,575	12,920	13,283	13,668	13,915	6,291.0
% margin						*17.8%*	*17.5%*	*17.3%*	*17.2%*	*17.0%*	
Taxes						2,515	2,584	2,657	2,734	2,783	1,270.9
% of EBIT						*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	
EBIAT						**10,060**	**10,336**	**10,626**	**10,935**	**11,132**	**5,020.1**
D&A						2,473	2,584	2,687	2,781	2,865	1,204.4
% of sales						*3.5%*	*3.5%*	*3.5%*	*3.5%*	*3.5%*	
CapEx						2,119	2,362	2,534	2,702	2,865	748.2
% of sales						*3.0%*	*3.2%*	*3.3%*	*3.4%*	*3.5%*	
Change in NWC						(2,119)	(2,215)	(2,303)	(2,384)	(2,456)	(1,825.0)
% of sales						*(3.0%)*	*(3.0%)*	*(3.0%)*	*(3.0%)*	*(3.0%)*	
Unlevered FCF						**4,643**	**8,342**	**8,476**	**8,630**	**8,676**	**3,651.3**
Present Value of FCF						**4,436**	**7,275**	**6,747**	**6,271**	**5,754**	

Source: VNM Q2/H1 2026 interim FS, KPMG-reviewed, 30 Jul 2026 [R2].

Tax = total income tax expense. NWC = five operating working-capital lines.

Terminal value (Gordon growth)	136,343
Present value of terminal value	90,427
Enterprise value	**120,910**
+ Cash, investments & associates	27,114
- Debt & non-controlling interest	12,254
Equity value	**135,770**

Shares outstanding (bn)	2.089955
Implied share price (VND)	**64,963**
Memo: PV of terminal value as % of enterprise value	*74.8%*

Sensitivity analysis: implied share price (VND)

WACC	Terminal growth rate (TGR)				
	2.0%	2.5%	3.0%	3.5%	4.0%
8.55%	66,695	70,619	75,250	80,798	87,563
9.05%	62,506	65,820	69,682	74,239	79,698
9.55%	58,871	61,701	**64,963**	68,764	73,248
10.05%	55,688	58,127	60,913	64,123	67,863
10.55%	52,876	54,997	57,398	60,139	63,299

Base case boxed. Green = at or above today's share price (G5); red = below. Grid recalculates the full DCF for each WACC / TGR pair.

Colour key: **Input** **Formula** **Link**